ACT RELATING TO INSTITUTIONS CARRYING ON FINANCIAL INTERMEDIATION BUSINESS, 2055 (1999)

Act No. 29 of the year 2055

(Unofficial Translation)

	Particulars	**Date (BS)**
	Date of Royal Seal and Publication	2055.12.17
	Acts amending this Act:	
1	Act Relating to Institutions Carrying on Financial Intermediation Business (First Amendment) Act, 2058 (Date of Authentication and Publication)	2059.04.22
2	Republic Strengthening and Some Nepal Laws Amendment Act, 2066	2066.10.07
3	Act Amending Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075	2075.11.19

[1][2].....

An Act Made to Provide for Institutions Carrying on Financial Intermediation Business

Preamble: Whereas, it is expedient to make provisions relating to institutions carrying on financial intermediation business for the purpose of collecting [3]micro-savings and providing micro-credit in an institutional manner, so as to involve low-income persons residing in various regions of the country in [4]micro-enterprise and thereby improve their economic condition;

Now, therefore, be it enacted by Parliament in the Twenty-seventh year of the reign of His Majesty King Birendra Bir Bikram Shah Dev.

[1]This Act came into force from 15 Jestha 2065.

[2]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

[3]Amended by the First Amendment.

[4]Amended by the First Amendment.

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Chapter-1
Preliminary

1. Short title and commencement:–

(1) This Act may be called the "Act Relating to Institutions Carrying on Financial Intermediation Business, 2055".

(2) This Act shall come into force on such date as the Nepal Government may, by notification published in the Nepal Gazette, specify.[5]

2. Definitions:–

Unless the subject or context otherwise requires, in this Act,-

(a) "Financial intermediation" means the work of [6]collecting micro-savings and providing micro-credit under this Act.

(b) [7]"Institution" means an institution registered under the Institution Registration Act, 2034, which has obtained a licence to carry on financial intermediation business under this Act.

(c) "Licence" means a licence given to carry on financial intermediation business under Section 5.

(d) "Bank" means the Nepal Rastra Bank established under the Nepal Rastra Bank Act, 2058.

(e) [8]"Micro-enterprise" means an income-generating enterprise operated with fewer than ten persons engaged in work.

(f) "Low-income person" means a person having income lower than that fixed by the Bank from time to time.

(g) "Group" means a group of low-income persons formed by completing the prescribed process.

(h) "Collective guarantee" means a written guarantee given to the institution whereby, if any member of a group fails to repay the micro-credit taken by him or her on time, the other members of that group collectively undertake to repay it.

(h1) [9]"Micro-savings" means the savings amount collected by the institution, as fixed by the Bank from time to time, from a low-income person or a group of persons who are members of the institution.

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[5]Commenced from 2056.8.1 (Nepal Gazette 2056.8.1).
[6]Inserted by the First Amendment.
[7]Amended by the First Amendment.
[8]Amended by the First Amendment.
[9]Inserted by the First Amendment.

(i) [10]"Micro-credit" means the loan provided by the institution, up to the limit fixed by the Bank from time to time, for the operation of a micro-enterprise.

(j) "Debtor" means a group, or any member of a group, that takes micro-credit from the institution.

(k) "Security" means movable or immovable property given in writing by way of mortgage, pledge or in any other manner in accordance with the prevailing law when taking micro-credit.

(l) "Employee" means a person appointed by the institution to work, whether remunerated or not, and this term also includes an office-bearer of the institution.

(m) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules or by-laws framed under this Act.

Chapter-2
Provisions Relating to Licence

3. Not to carry on financial intermediation business without licence:–

After the commencement of this Act, no person shall carry on or cause to be carried on financial intermediation business [11]under this Act without obtaining a licence.

4. Application to be made for licence:–

An institution registered under the Institution Registration Act, 2034 with the objective of carrying on financial intermediation business shall, if it wishes to carry on financial intermediation business under this Act, submit an application to the Bank in the prescribed format, disclosing the following details:-

(a) The certificate of registration of the institution and the constitution of the institution,

(b) The names, addresses and occupations of the office-bearers of the institution,

(c) The total number of members of the institution,

(d) The movable and immovable property of the institution,

(e) The geographical area in which the institution wishes to carry on financial intermediation business,

(f) Other matters as prescribed.

5. Licence to be given:–

(1) On receipt of an application under Section 4, the Bank shall carry out necessary inquiry into such application, and if it considers it necessary to obtain further information

[10]Amended by the First Amendment.
[11]Inserted by the First Amendment.

or details while carrying out such inquiry, it may demand further information or details from the institution submitting such application.

(2) If, upon carrying out inquiry under sub-section (1), the Bank considers it appropriate to give a licence, it shall, on collection of the prescribed fee, give a licence to the applicant to carry on financial intermediation business, in the prescribed format.

(3) A licence under sub-section (2), [12]or information of rejection, shall be given [13]within a maximum of seventy-five days from the date of receipt of the application, or, where further information or details have been demanded under sub-section (1), from the date of receipt of such information or details.

(4) [14].....

6. Power to prescribe conditions:–

(1) The Bank may, while providing a licence under Section 5, prescribe conditions to be complied with by the institution while carrying on financial intermediation business.

(2) It shall be the duty of the institution to comply with the conditions prescribed under sub-section (1).

7. Renewal to be made:–

(1) [15]The institution shall get its licence renewed from the Bank every two years, as prescribed.

(2) Where a licence is not renewed within the period under sub-section (1), such licence shall automatically be cancelled.

(3) Other provisions relating to renewal of licence shall be as prescribed.

Chapter-3
Functions, Duties and Powers of the Institution

8. Functions, duties and powers of the institution:–

In addition to the functions, duties and powers mentioned elsewhere in this Act, the functions, duties and powers of the institution shall be as follows:-

(a) To encourage low-income persons to form groups,

(a1) [16]To collect micro-savings from a group or members of a group,

[12]Inserted by the First Amendment.
[13]Amended by the First Amendment.
[14]Omitted by the First Amendment.
[15]Amended by the First Amendment.
[16]Inserted by the First Amendment.

(b) To provide micro-credit to a group or a member of a group for operating a micro-enterprise, whether or not taking any movable or immovable property as security or guarantee,

(c) To obtain loans or grants from [17]the Nepal Government, the Bank, or domestic or foreign associations, institutions, etc., and to utilize such loans or grants in the distribution of micro-credit or in making such work effective,

[18]Provided that the institution shall obtain the consent of the Nepal Government through the Bank before obtaining a loan, grant or any kind of assistance from a foreign association, institution, etc.

(d) Before providing micro-credit, to evaluate the work for which the credit is sought and to ascertain the feasibility of such work,

(e) To publicize micro-enterprises of the kind that would improve the economic condition of low-income persons,

(f) To conduct seminars relating to micro-enterprise, provide training for project preparation, provide assistance, impart technical knowledge and arrange technical assistance as required,

(g) To provide necessary services to the group in relation to the mobilization of [19]micro-savings and micro-credit,

(h) To take necessary action towards recovering micro-credit in time,

(i) To inquire from time to time whether or not micro-credit has been put to proper use, and, if it is found upon such inquiry that it has not been put to proper use, to give necessary directions [20]or take necessary action,

(j) To carry out other prescribed work relating to [21]collection of micro-savings and distribution of micro-credit,

(k) [22]To work as an agent of a commercial bank or financial institution.

9. Power to demand details, statistics or documents:–

The Bank may demand from the institution any details, statistics or documents relating to [23]micro-savings and micro-credit, and it shall be the duty of the concerned institution to submit such details, statistics or documents so demanded.

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[17]Inserted by the First Amendment.
[18]Amended by the First Amendment.
[19]Inserted by the First Amendment.
[20]Inserted by the First Amendment.
[21]Inserted by the First Amendment.
[22]Inserted by the First Amendment.
[23]Inserted by the First Amendment.

10. Agreement to be made:–

(1) When providing micro-credit, the institution shall, for the security and proper use of such credit, enter into a written agreement with the debtor, prescribing such conditions as necessary.

(2) When entering into an agreement under sub-section (1), the institution may fix a term of any duration and prescribe conditions such that, if the debtor violates the conditions fixed by the institution, the institution may cause the principal and interest of the credit taken by the debtor to be repaid, or may recover it from the security given in writing by the debtor or from the collective guarantee.

Provided that the institution shall not, while taking security from the debtor, take as security the property of a person unconnected with the group.

11. Powers of the institution in case of violation of conditions:–

(1) Where any debtor fails to comply with an agreement or condition made with the institution, or fails to repay the institution's micro-credit within the written term, or where it is found upon inquiry by the institution that the debtor has misused or misappropriated the amount of micro-credit taken, then, notwithstanding anything contained in the prevailing law, the institution may recover the principal and interest by auctioning and selling, in accordance with the prevailing law, the security given in writing by the debtor to the institution or kept with the institution.

(2) Where the debtor has, in any manner, relinquished the right over the security kept with the institution to another person, or where, for any reason, the value of the security kept with the institution has decreased, then, notwithstanding anything contained in the prevailing law, the institution may cause the debtor to place additional security sufficient to cover the credit within the period specified by the institution. Where the debtor is unable to place such security within the period specified by the institution, the institution may recover its principal and interest by auctioning and selling the property kept as security.

(3) Where, upon auctioning and selling under sub-section (1) or (2), the institution is unable to recover the full amount of its principal and interest from such security, the institution may recover the remaining amount by auctioning and selling, in the case of individual micro-credit taken by a member of the group, the other property of that member, and, in the case of micro-credit taken collectively, the other property of the members of that group.

(4) Out of the amount recovered by auction and sale under this Section, the amount remaining after deducting the amount spent in auctioning and selling the property and the amount of the institution's principal and interest shall be returned to the concerned [24]person.

[24]Amended by the First Amendment.

(5) Where no one comes forward to bid at an auction conducted by the institution under this Section, the institution may itself accept such property [25]as prescribed.

12. Registration or mutation to be made:–

(1) Where, upon auction and sale of property held as security under Section 11, someone accepts the bid, the institution shall write to the concerned Land Revenue Office to register or mutate such property, in accordance with the prevailing law, in the name of such person, and where no one accepts the bid and the institution itself accepts it, in the name of the institution.

(2) Upon receipt of such letter from the institution under sub-section (1), the concerned Land Revenue Office shall make the registration or mutation.

13. [26].....:–

14. Determination of interest rate:–

(1) [27]The institution shall itself determine the interest to be given or taken on micro-savings and micro-credit, subject to the policy directives of the Rastra Bank. The institution shall inform the Bank of the interest rate so determined within seven days.

(2) Notwithstanding anything contained in sub-section (1), the Bank may, if it considers necessary, direct the institution to further increase or decrease the interest rate determined by the institution, and it shall be the duty of the concerned institution to comply with such direction.

15. Power to charge service fee:–

The institution may charge [28]..... a service fee for providing any service, facility, technical knowledge or training to any person or group in relation to the mobilization of micro-savings and micro-credit.

16. Records to be maintained:–

The institution shall maintain up-to-date records of work relating to financial intermediation.

Chapter-4
Functions, Duties and Powers of the Bank

17. Power to make or cause to be made inspection or inquiry:–

(1) The Bank may, as necessary, make or cause to be made inspection or inquiry of the office or work and activities of the institution.

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[25]Inserted by the First Amendment.
[26]Repealed by the First Amendment.
[27]Amended by the First Amendment.
[28]Omitted by the First Amendment.

(2) In the course of inspection or inquiry under sub-section (1), it shall be the duty of the concerned [29]institution and employees to provide the documents or details demanded by the person carrying out such inspection or inquiry.

(3) Other provisions relating to inspection or inquiry shall be as prescribed.

18. Power to give directions:–

(1) Where, in the course of inspection or inquiry under Section 17, it is found that the institution has done any of the following acts, the Bank may, fixing a specific time, give directions to such institution to make improvement in, or make special arrangement in respect of, any work or activity to be carried out by it:-

(a) Failure to carry out work required to be carried out under this Act,

(b) Doing any act detrimental to [30]depositors and debtors,

(c) Failure to properly maintain its books of account, ledgers or documents,

(d) Failure to comply with the conditions prescribed by, or directions given by, the Bank,

(e) Misappropriation of the institution's funds, or utilization of the [31]amount received for a purpose contrary to the objectives of this Act,

(f) Failure to provide the details, statistics or documents demanded under this Act.

(2) The Bank may, from time to time, give directions to the institution in relation to matters required to be done by the institution under this Act or the Rules framed under this Act, and it shall be the duty of the concerned institution to comply with such directions.

19. Power to cancel licence:–

[32](1) Where any institution violates a direction given under Section 18, the Bank may caution such institution for improvement or impose restriction on any activity of such institution. Where such direction is violated three times, or where any of the following acts is done, the Bank may suspend or cancel the licence of such institution:-

(a) Discontinuing carrying on financial intermediation business,

(b) Misappropriating the institution's funds, or not using the amount for the purpose for which it was received,

(c) Not acting in accordance with a direction given by the Bank, fixing a time, to make improvement in, or make special arrangement in respect of, any work or activity,

[29]Inserted by the First Amendment.
[30]Inserted by the First Amendment.
[31]Amended by the First Amendment.
[32]Amended by the First Amendment.

(d) [33]Not getting renewal done under the Institution Registration Act, 2034 and Section 7 of this Act.

(2) Before issuing an order to cancel a licence under sub-section (1), the Bank may, if it considers necessary, cause necessary inquiry or investigation to be made in that regard.

(3) Before cancelling a licence under sub-section (1), the Bank shall give the concerned institution an opportunity to submit a clarification.

20. Power to impose restriction on carrying on financial intermediation business:–

Where the Bank considers it inappropriate to allow an institution to continue carrying on financial intermediation business as before, by reason of any act referred to in Section 18 done by such institution, the Bank may, after giving such institution an opportunity to make necessary improvement, impose restriction on such institution from carrying on financial intermediation business for a specified period.

21. Release from financial intermediation business[34]:–

Where an institution applies to the Bank to be released from carrying on financial intermediation business, and it appears that such institution has discharged all liabilities payable by it, the Bank may release such institution from carrying on financial intermediation business.

Provided that where such institution is unable to discharge all its liabilities, the Bank shall restrain such institution from carrying on financial intermediation business and write to the Nepal Government to have the liabilities discharged from the property of such institution under the Institution Registration Act, 2034.

21A. Recovery from the personal property of office-bearer[35]:–

Where any office-bearer of an institution has carried out or caused to be carried out any work or activity of financial intermediation out of personal interest or in bad faith contrary to the objectives of this Act, or has misappropriated the funds of the institution, the Bank shall recover or cause to be recovered such misappropriated amount from the household property of such office-bearer or from the movable and immovable property in his or her name and ownership in Nepal [36].....

[33]Inserted by the First Amendment.
[34]Amended by the First Amendment.
[35]Inserted by the First Amendment.
[36]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

22. [37]**.....:–**

23. [38]**.....:–**

Chapter-5
Fund, Accounts and Audit of the Institution

24. [39]**Fund of the institution:–**

(1) [40]The institution shall have a separate fund, and the following amounts shall be credited to that fund:-

(a) Amounts received as grant or loan from [41]the Nepal Government, [42]Provincial Government, the Bank, or domestic or foreign associations or institutions,

(a1) [43]Amounts received from collection of micro-savings,

(a2) [44]Amounts received from commercial banks or financial institutions,

(b) The prescribed portion of the fees received from members of the institution,

(c) Service fee amounts received in consideration of services provided by the institution,

(d) Interest, fees, etc. received from micro-credit,

(e) Amounts received from other sources.

(2) All expenditures made in the name of the institution shall be met from the fund under sub-section (1).

[45]Provided that the amount collected from micro-savings and the amount received for micro-credit shall not be spent for any other purpose.

(3) [46]The amount of the fund shall be deposited in an account opened in any commercial bank or financial institution, and the operation of such account shall be as prescribed.

(4) [47]Where the institution is not in a position to immediately disburse micro-credit, it may, with the approval of the Bank, invest such amount in fixed deposits for a maximum period of six months.

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[37]Repealed by the First Amendment.
[38]Repealed by the First Amendment.
[39]Amended by the First Amendment.
[40]Amended by the First Amendment.
[41]Amended by the Act Amending Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075.
[42]Amended by the First Amendment.
[43]Inserted by the First Amendment.
[44]Inserted by the First Amendment.
[45]Inserted by the First Amendment.
[46]Amended by the First Amendment.
[47]Inserted by the First Amendment.

25. Risk-bearing fund:–

(1) For the purpose of bearing the possible loss or damage that may arise while disbursing micro-credit, the institution shall, in addition to the fund referred to in Section 24, set up a separate risk-bearing fund, and shall credit to that fund such amount as prescribed of the total outstanding credit under investment as at the last day of each fiscal year.

(2) The amount credited to the fund under sub-section (1) may be invested by the institution in securities of the Nepal Government or the Bank [48]or in fixed deposits of commercial banks or financial institutions.

(3) The amount credited to the fund under sub-section (1) shall be used only for the work of writing off micro-credit. The institution shall obtain the approval of the Bank before so writing off micro-credit.

26. Accounts and audit of the institution:–

(1) The institution shall maintain separate accounts of the work relating to financial intermediation, prepare the balance sheet of each fiscal year and have it audited, within six months of the end of such fiscal year, by a [49]recognized auditor appointed by the general meeting of the institution.

(2) While appointing an auditor under sub-section (1), the same person or firm shall not be appointed for more than three consecutive terms.

(3) The remuneration of the auditor shall be as fixed by the general meeting of the institution.

(4) The Bank may, if it so wishes, examine or cause to be examined the accounts of the institution at any time.

27. [50].....:–

Chapter-6
Punishment

28. Punishment:–

(1) If any person carries on financial intermediation business without obtaining a licence under this Act, such person shall be liable to a fine of up to twenty thousand rupees or imprisonment for up to six months, or both. Where any institution has done such act, the office-bearer conducting the affairs of such institution shall be liable to such punishment.

(2) If any institution fails to comply with this Act or the Rules framed under this Act, or with an order or direction given by the Bank, or fails to give or submit any details or documents demanded under this Act, or knowingly gives false information, and if any loss

[48]Inserted by the First Amendment.
[49]Amended by the First Amendment.
[50]Repealed by the First Amendment.

or damage has resulted from such act, the amount involved shall be recovered from the concerned employee, and such employee shall be liable to a fine of up to ten thousand rupees or imprisonment for up to six months, or both.

(3) If any employee of the institution embezzles the cash or goods of the institution, or uses them for personal purposes, the amount involved shall be recovered from such employee, and such employee shall be liable to imprisonment for up to five years, or a fine equal to the amount involved, or both.

(4) If any employee of the institution deceives a debtor or causes loss or harm to him or her by illegal means, the Bank or the concerned party may initiate action against such employee in accordance with the prevailing law.

29. Action may be taken under prevailing law:–

If any institution commits any act punishable under the prevailing law, this Act shall not be deemed to bar action being taken against such institution in accordance with such law.

Chapter-7
Miscellaneous

30. Registration fee or stamp duty not to be charged:–

No registration fee or stamp duty shall be charged on a transaction where the institution has the property taken from the debtor as security transferred into its own name, or where the institution purchases or sells any immovable property.

31. Income tax exemption:–

The Nepal Government may, by publishing a notice in the Nepal Gazette, exempt the income earned by the institution from income tax, wholly or partially.

32. Annual report to be submitted:–

The institution shall, within three months of the end of each fiscal year, submit to the Bank a [51]preliminary annual report of the work and activities carried out by it in relation to financial intermediation, along with its [52]statement of profit and loss.

33. Consultation to be made with the Bank:–

Consultation shall be made with the Bank before an institution is dissolved under the Institution Registration Act, 2034.

33A. Power to merge or be merged[53]:–

(1) Notwithstanding anything contained in the Institution Registration Act, 2034, where two-thirds of the members present at the general meeting of an institution carrying on financial intermediation business under this Act support a proposal for merging another

[51]Inserted by the First Amendment.
[52]Amended by the First Amendment.
[53]Inserted by the First Amendment.

institution into itself or for merging itself into another institution, such proposal shall be deemed to have been passed by the general meeting.

Provided that no proposal shall be passed to merge with, or be merged into, an institution not carrying on financial intermediation business under this Act.

(2) The proposal passed under sub-section (1) shall be submitted to the office registering the merging institution and to the Bank, and once separate approvals have been obtained from that office and the Bank, the legal existence of such institution shall automatically cease.

(3) The property of the institution merged under sub-section (1) shall pass to the institution into which it merges, and all the liabilities of such institution shall be borne by the institution into which it merges.

34. Protection of acts done in good faith:–

Members or employees of the institution shall not be personally or collectively liable in respect of any act done in good faith subject to this Act or the Rules framed under this Act.

35. To be governed by prevailing law:–

Notwithstanding anything contained in the prevailing law, matters contained in this Act or the Rules framed under this Act shall be governed accordingly, and other matters shall be governed by the prevailing law.

36. Power to frame Rules:–

The Bank may frame necessary Rules to implement the objectives of this Act, and such Rules shall come into force after being approved by the Nepal Government.

37. Power to frame by-laws:–

The institution may, subject to this Act and the Rules framed under this Act, frame such by-laws as necessary for the conduct of its work, and such by-laws shall come into force after being approved by the Bank.

Note: (1) Words converted by the First Amendment: "micro-enterprise" in place of "income and employment generating enterprise". (2) Words converted by the Act Amending Some Nepal Laws, 2063: "Nepal Government" in place of "His Majesty's Government".